International Business Strategy

- Mission Statement
- Goals
- SBU Portfolio Analysis
- Strategic Focus
- SWOT
- 5 Forces Model

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Mission Statement

- Most difficult job
- Restricts Flexibility
- Answers the Question:**What Business are We In?**
- Other possible questions:
  - –Who are our customers?
  - –How do we provide them with value?
  - –What business do we *want* to be in?
  - –How will we get there?
  - –What is our competitive scope? (industry, technology, competency, segments, channels, geography)

Mission Statements

Organization	Mission
Goodyear	Our mission is constant improvement in products and services to meet our customers' needs. This is the only means to business success for Goodyear and prosperity for its investors and employees.
Intel Corporation	Do a great job for our customers, employees, and stockholders by being the preeminent building block supplier to the computing industry.

(continued)

Mission Statements

Organization	Mission
Merck & Co., Inc.	The mission of Merck & Co., Inc., is to provide society with superior products and services— innovations and solutions that satisfy customer needs and improve their quality of life—to provide employees with meaningful work and advancement opportunities and investors with a superior rate of return.
Marriott	Grow a worldwide lodging business using total quality management (TQM) principles to continuously improve preference and profitability. Our commitment is that every guest leaves satisfied.

Goals

- Must be measurable
- Must be at a defined time
- Sales, ROI, share, new products, satisfaction ratings, awareness…
- May involve sales forecast

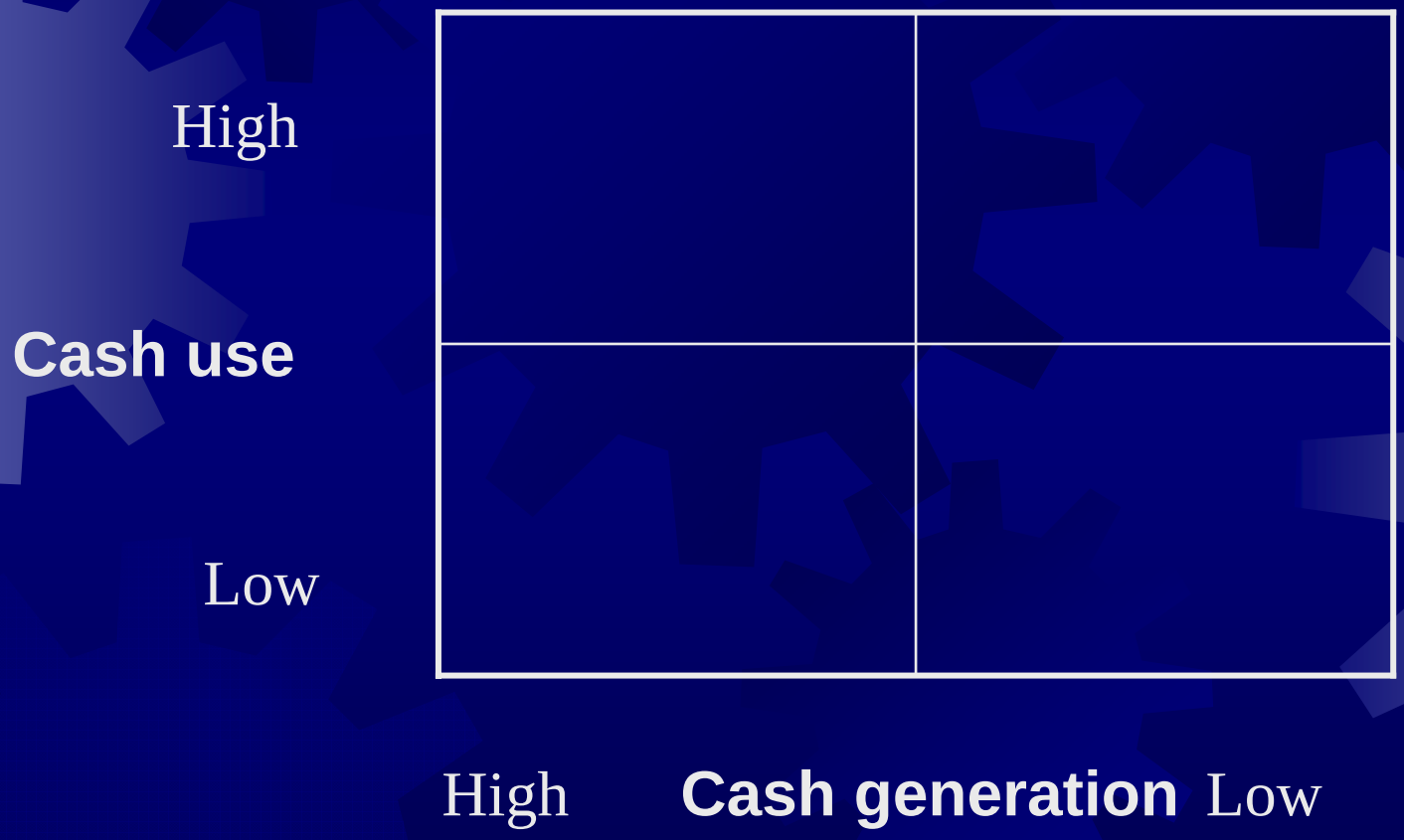
Portfolio Analysis

- Used for Resource Allocation across Strategic Business Units and/or across Products:
  - How does the existing portfolio of SBU's (or products) fit together?
  - Should elements be added or dropped?
  - Where should investment be made?

Portfolio Analysis: BCG

- The original model
- Based on cash flow
- Premise: in the long run cash generation from operations must exceed cash usage.
- Where does each product in the product line sit on the generation / usage dimensions?

BCG Portfolio Model



BCG Portfolio Model

High

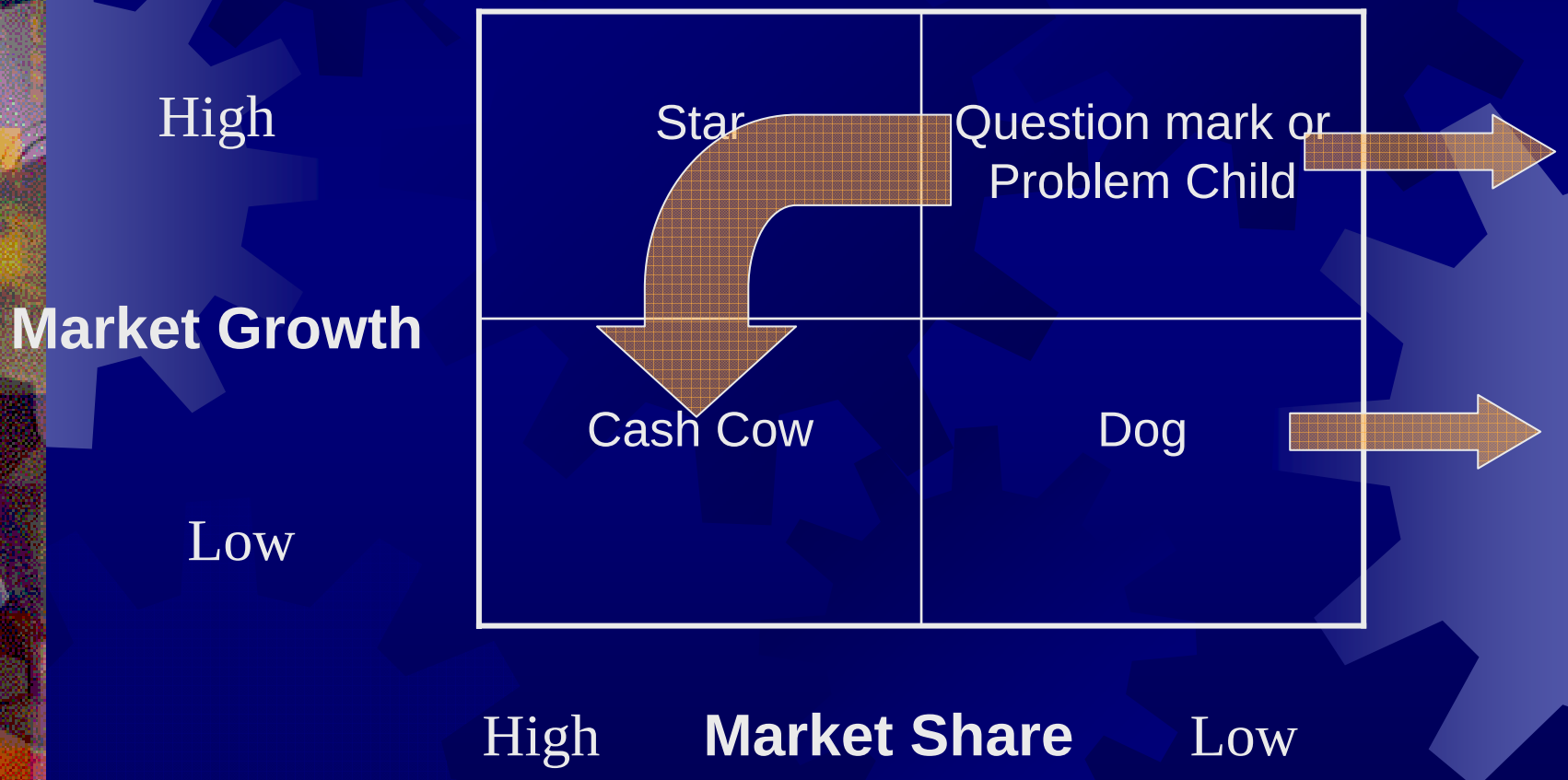
Market Growth

Low

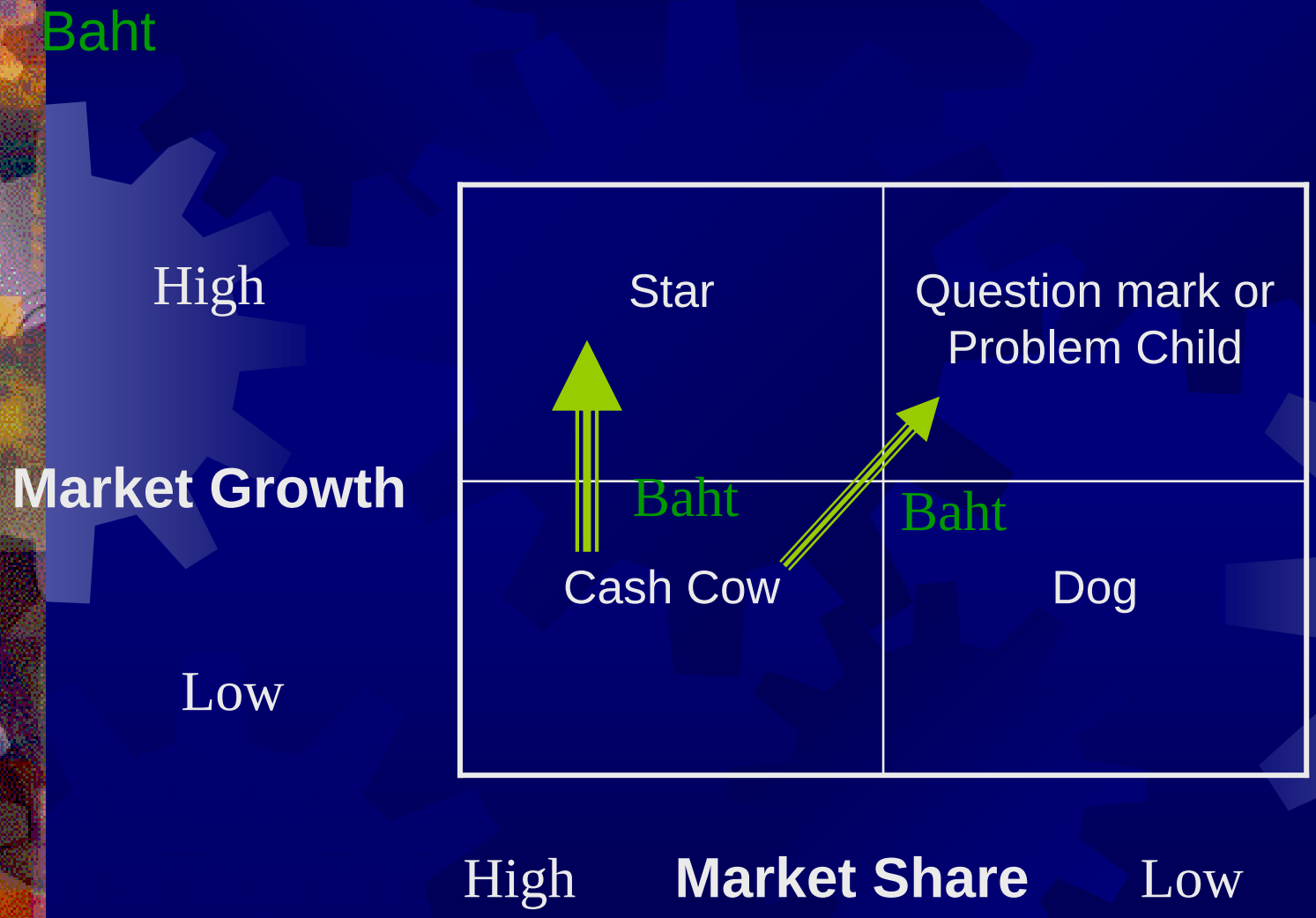
Star	Question mark or Problem Child
Cash Cow	Dog

High **Market Share** Low

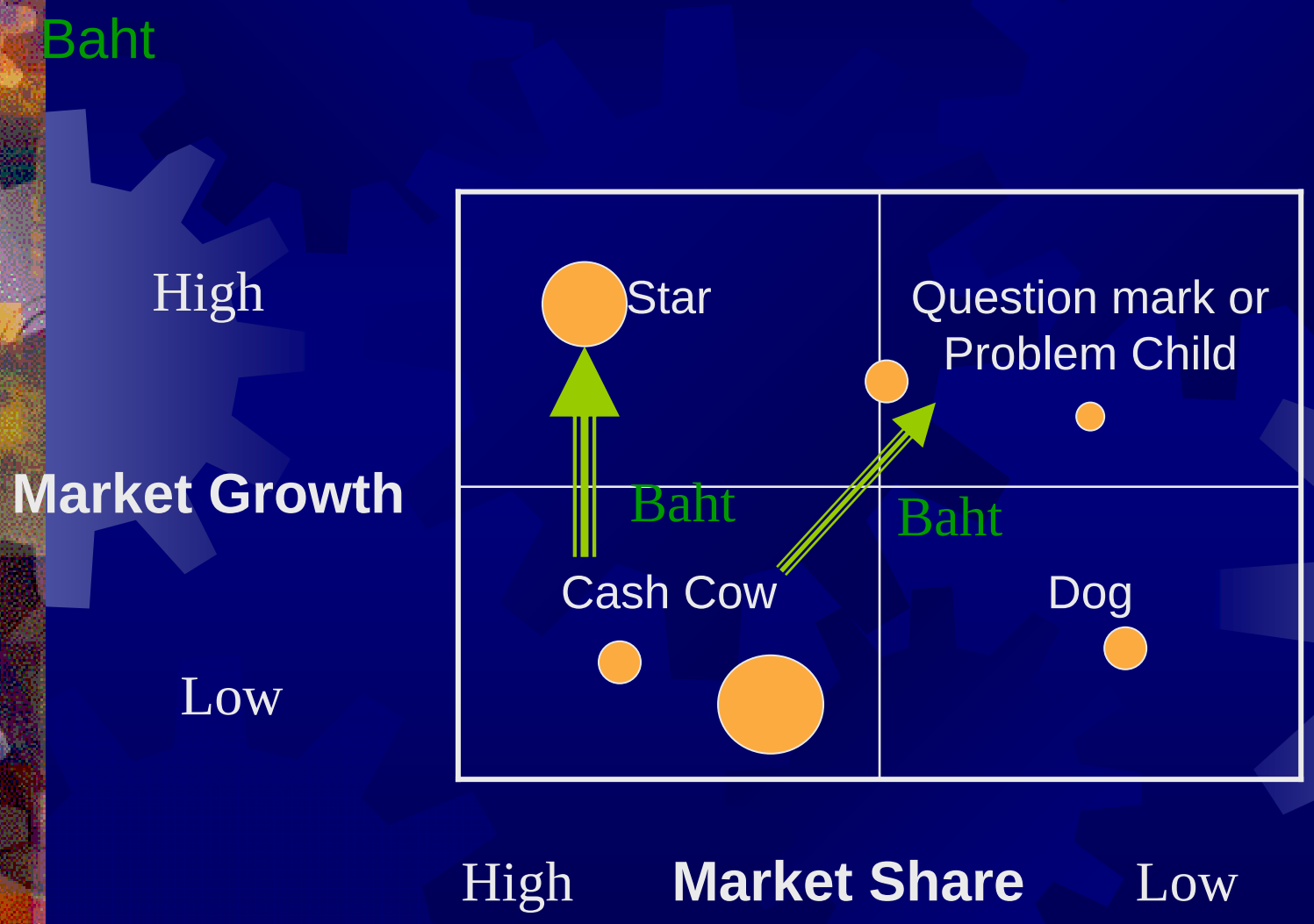
BCG Portfolio Model—Long term strategy



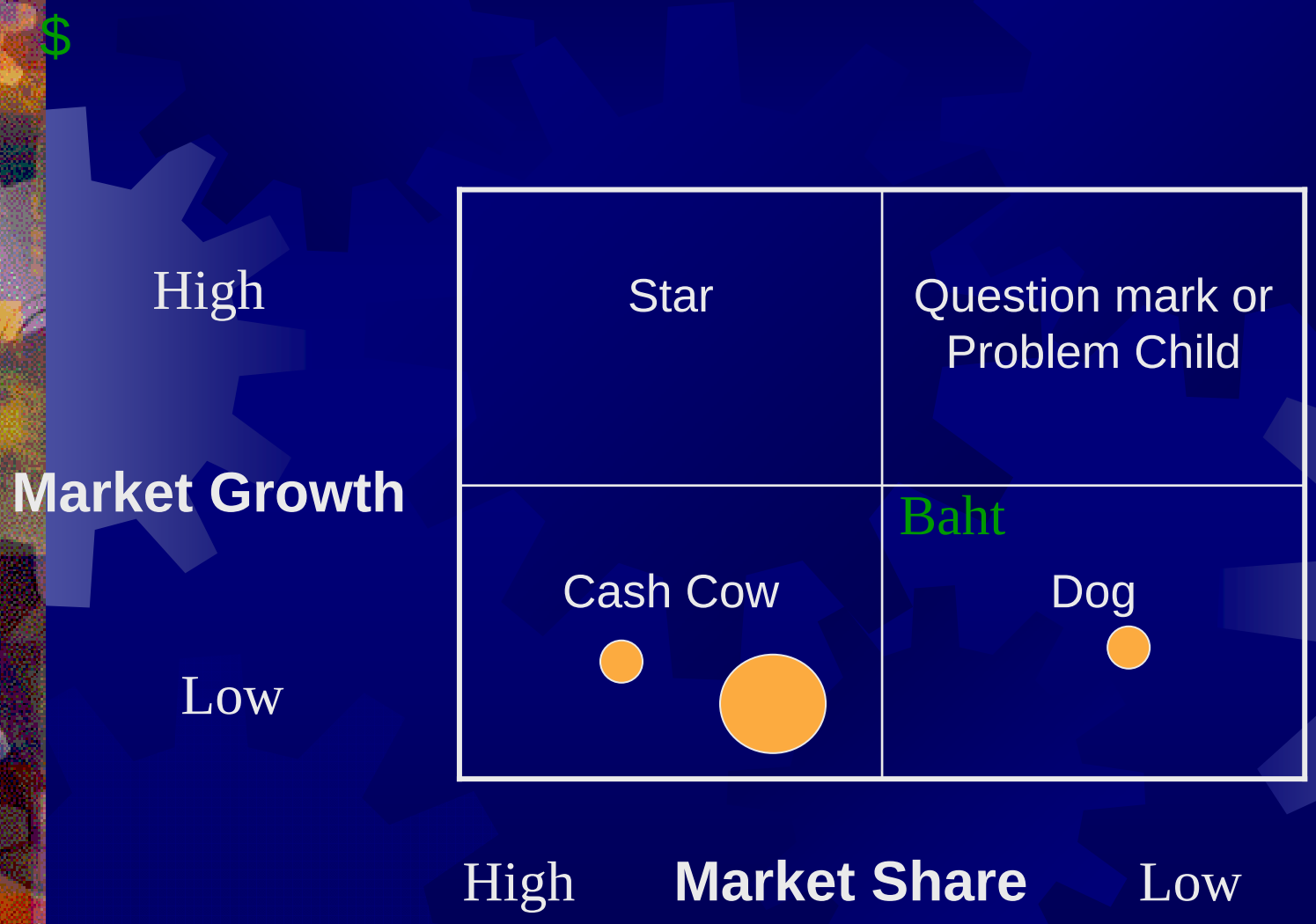
BCG Portfolio Model—Resource Allocation



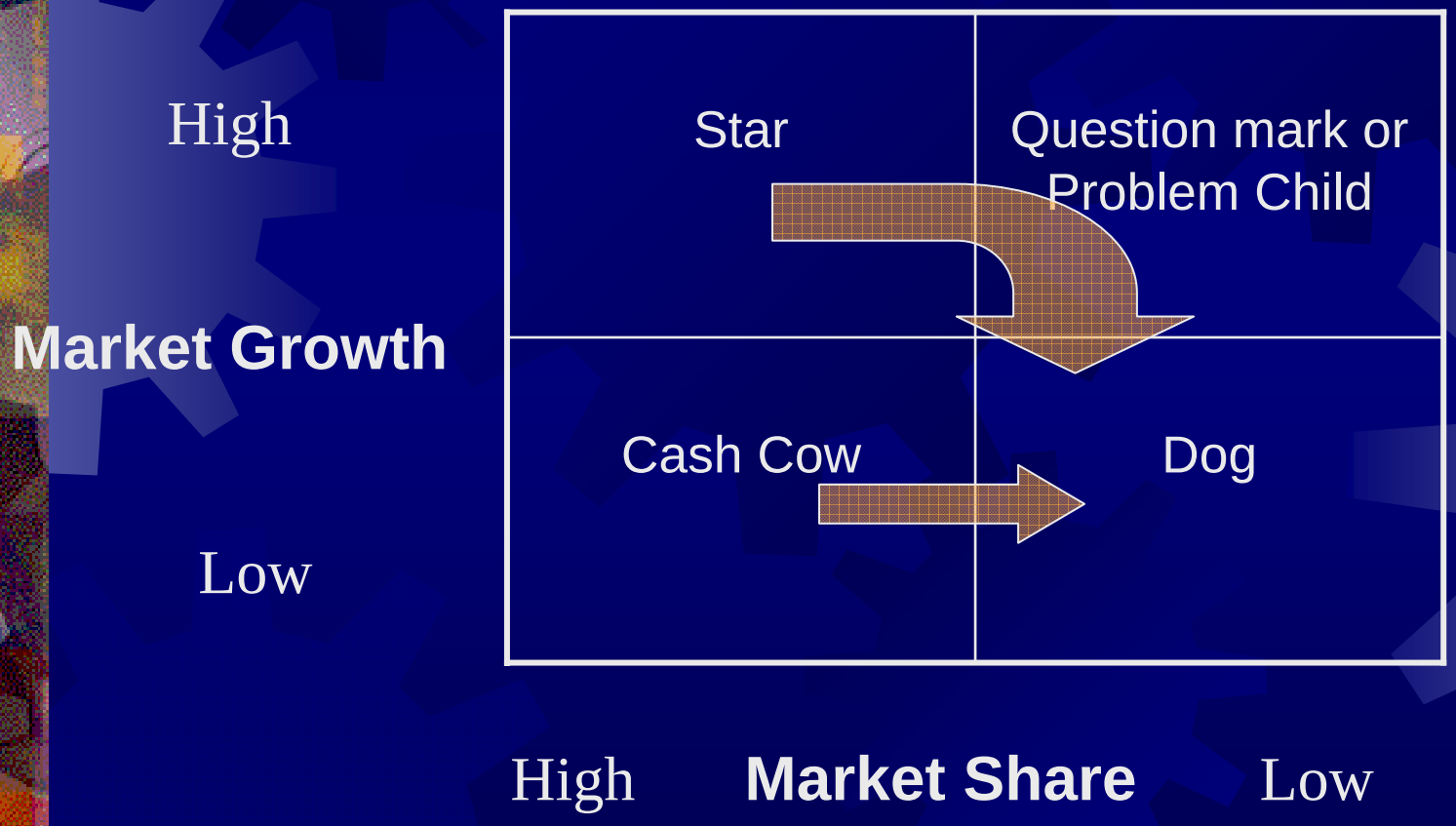
BCG Portfolio Model—Resource Allocation
Requires a balanced portfolio



BCG Portfolio Model—
An Unbalanced Portfolio



BCG Portfolio Model: Disaster Trajectories



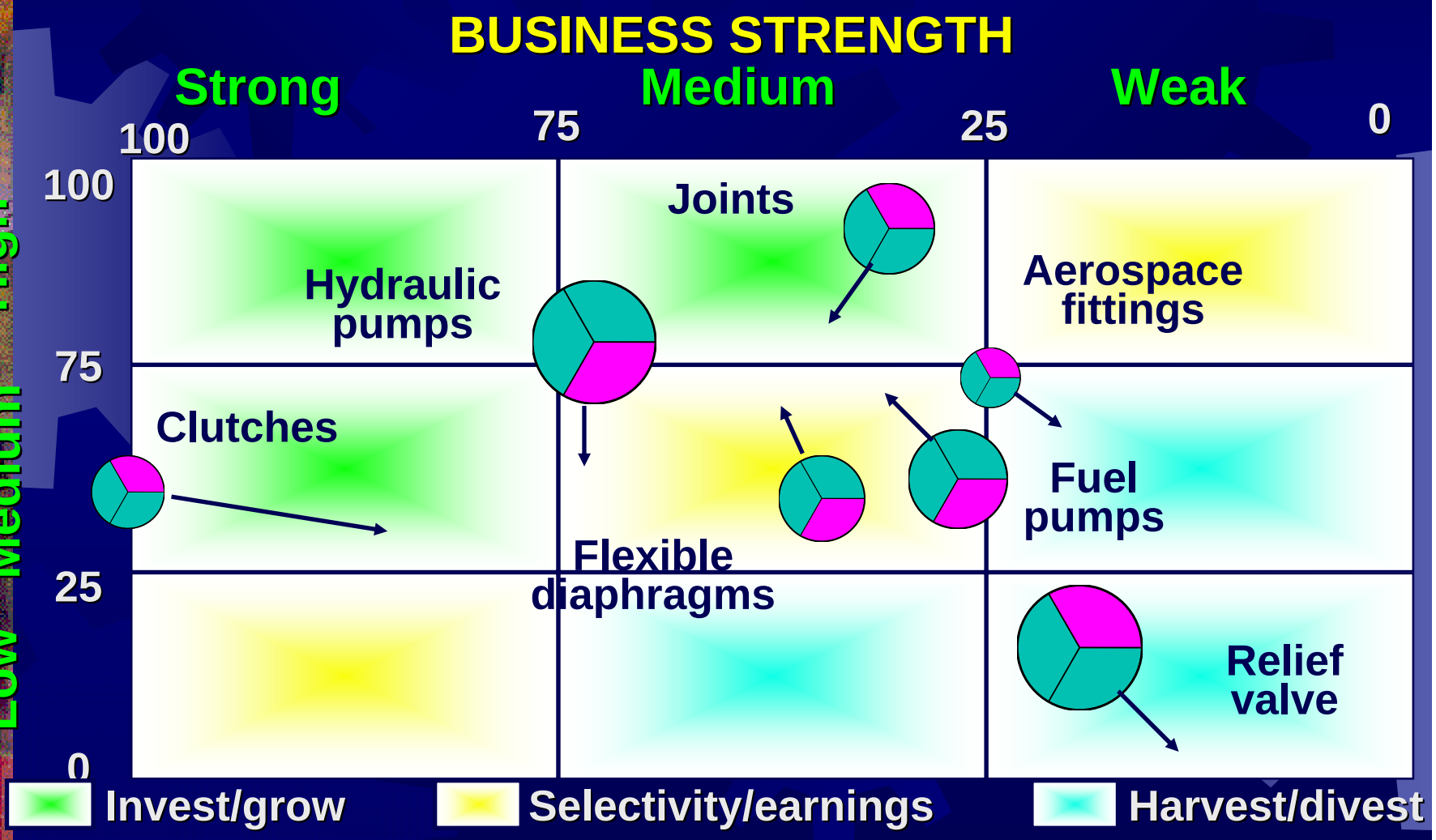
Product Portfolio Management by BCG - Limitations

- Requires constant supply of innovations that can be successfully turned into cash cows with less investment than existing cash cows generate
- Assumes reasonably well-behaved Product Lifecycles
- Assumes market share = profitability

GE Portfolio Model

- Similar logic to the *internal-external* framework of SWOT
- Generalization of BCG matrix: more information used and presented
- Matches *market attractiveness* with *business strengths*
  - evaluate many factors for each dimension and develop a composite index for both strengths (internal) and attractiveness (external)

GE Portfolio: Allocate more resources to attractive markets where business has competitive strengths



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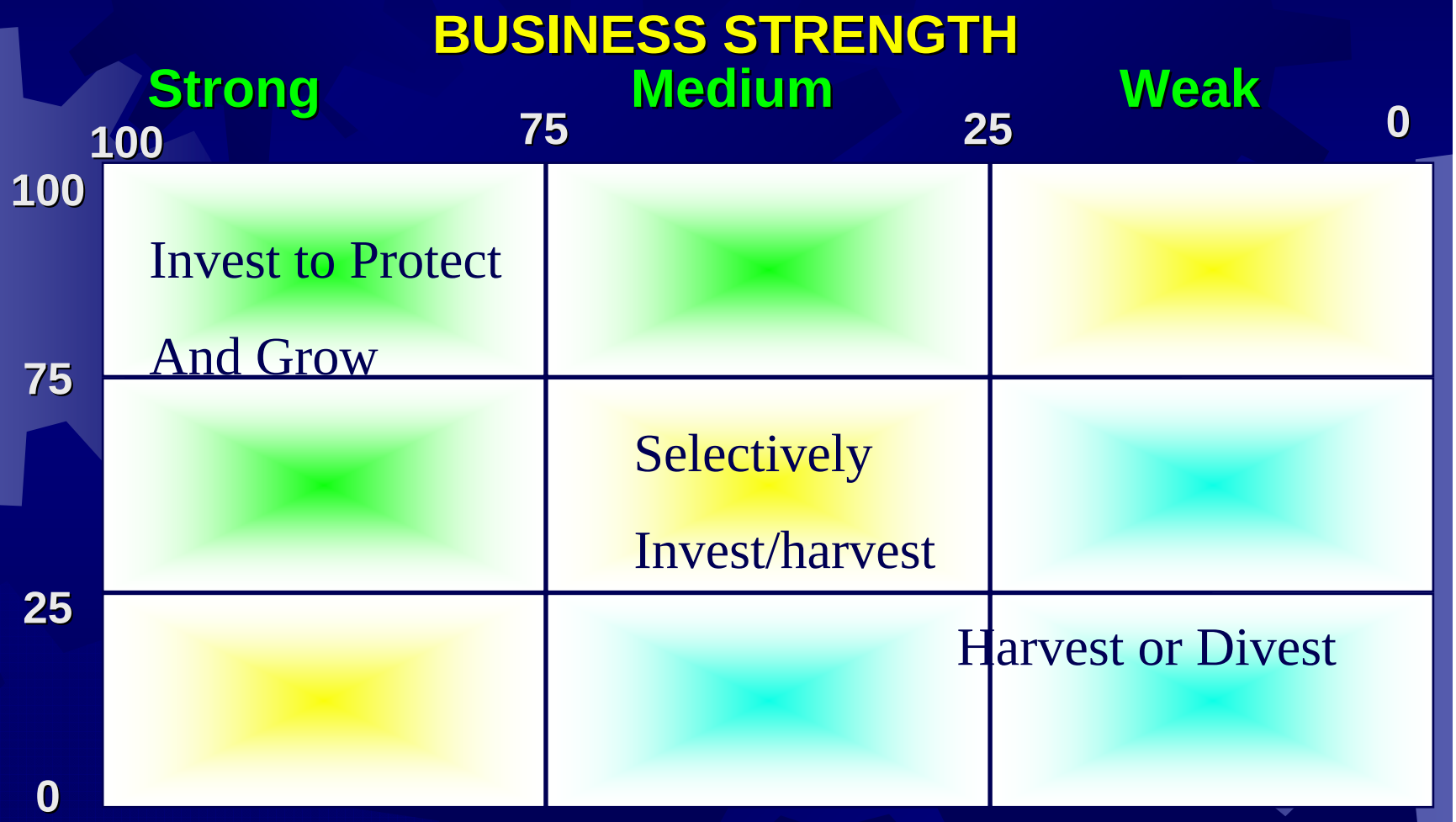


Strategic Focus: Porter's 3 generic types of strategy

Porter's Contention: to be successful, a company must be very a good at least one of

- Overall Cost Leadership
- Differentiation
- Focus

Invest resources according to strategy

Strategic Focus: Porter's 3 generic types of strategy

Overall Cost Leadership

- Focus on reducing production and distribution costs
- Need to be good at engineering, purchasing, manufacturing, distribution
- Compete on price
- Difficult competitive advantage to sustain

Porter's 3 generic types of strategy

Differentiation

- Build strength in an area that is important to many customers: (e.g.,service, quality, style, technology) and which is difficult for competitors to copy
- Easy Jet

Porter's 3 generic types of strategy

Focus

- Get to know narrow segment(s) intimately and serve their needs well, either by differentiation or price—a niche strategy.
- Chartered flight

Strengths and Weaknesses

- The company relative to the competition
- Competitor Strengths and Weaknesses
  - Company Strengths & Weaknesses are the "internal" part of SWOT analysis

Opportunities and Threats

- Customer Analysis: trends in behaviour, benefits desired and descriptive factors; segments
- Environmental: changes in PEST factors
- Competitor Analysis: Identification, S&W, Behaviour ; Actions-Likelihood-Consequences

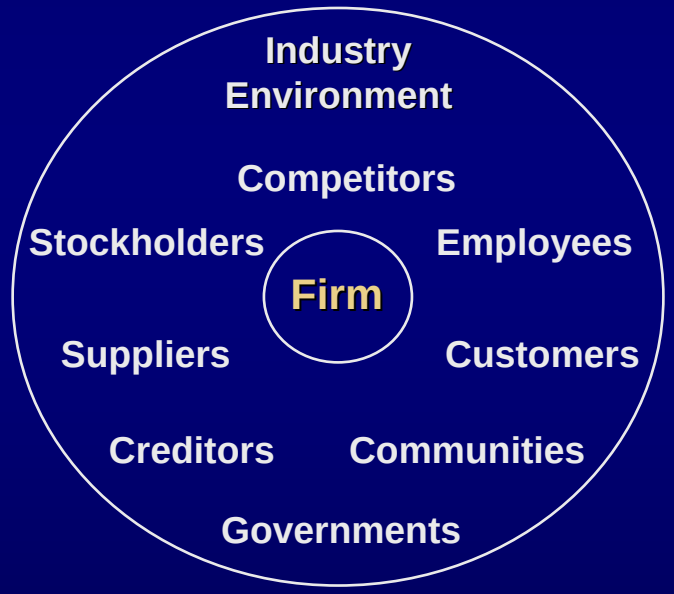
- **Opportunities** - positive factors in the external environment that provide the possibility of enhancing growth and/or profitability.

- **Threats** - negative factors in the external environment that create barriers to future growth or profitability.

The Role of the Macro environment

Sociocultural/Demographic Forces

Technological Forces



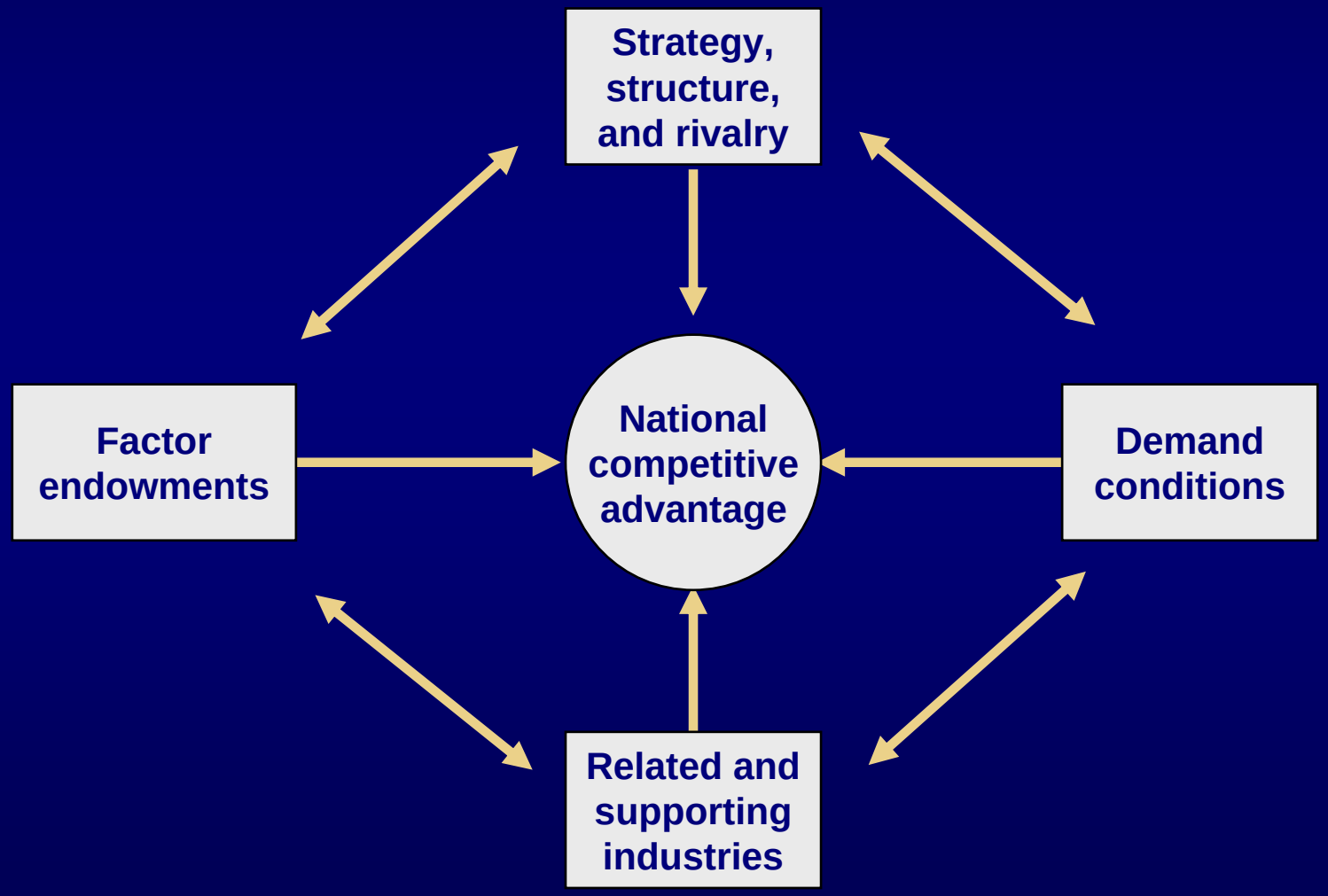
Political-Legal Forces

Economic Forces

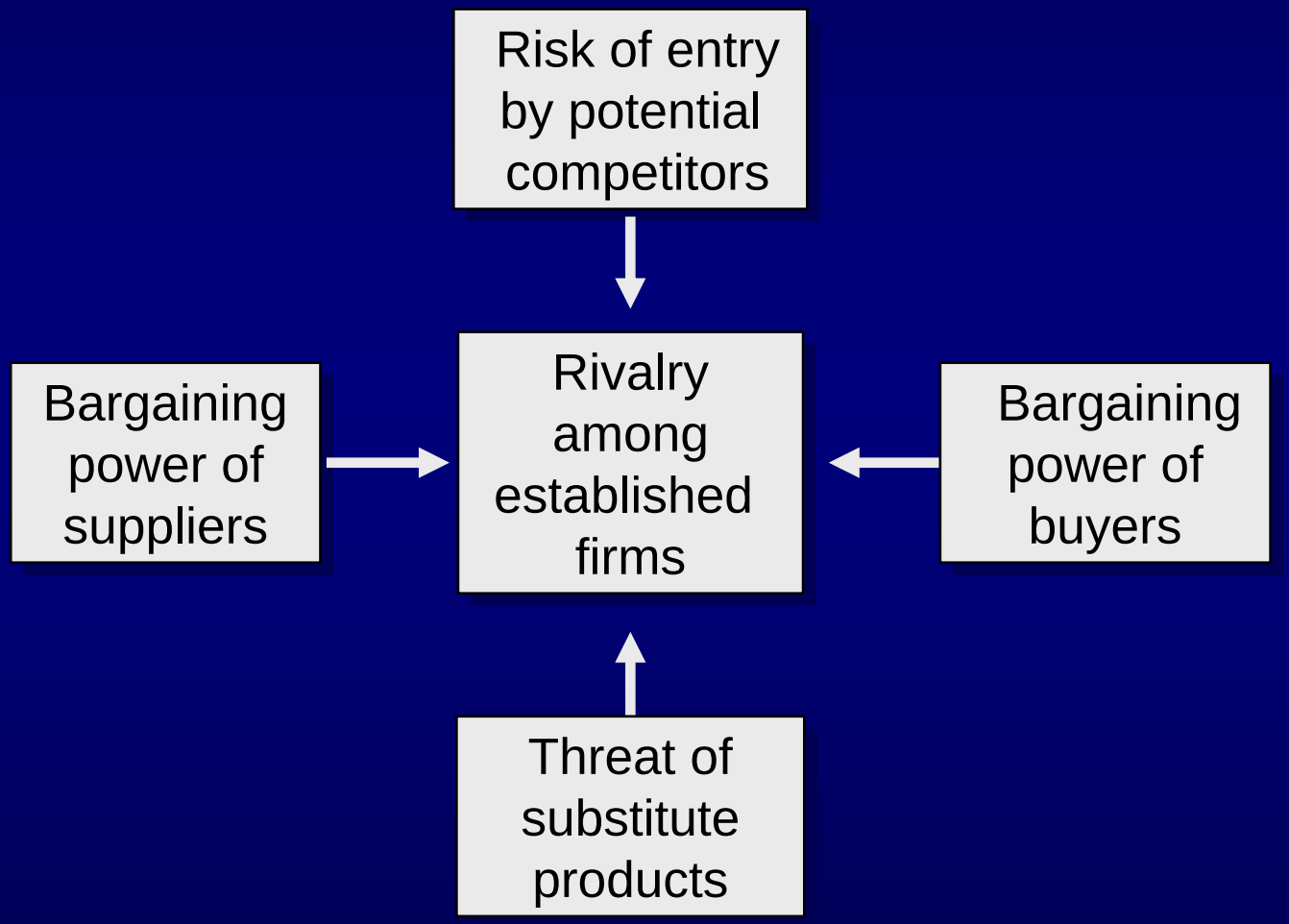
Important Variables in the Macroenvironment

Economic	Technological	Political-Legal	Sociocultural / Demographic
• GNP trends • Interest rates • Money supply • Inflation rates • Employment levels • Wage/price controls • Currency valuation • Energy cost/ availability • Disposable and discretionary income	• Government R&D expenditures • Industry R&D expenditures • Patent protection • New products • Technology transfer • Productivity improvements • Rates of obsolescence • Technology infrastructure	• Antitrust regulation • Environmental protection • Tax laws • Foreign trade regulation • Laws on hiring and promotion • Stability of government	• Lifestyle changes • Career expectations • Consumer activism • Cultural values • Social mobility • Regional shifts in population • Education levels • Rate of family formation • Growth rate of population •Age distribution

Competitive Advantage of Nations



The Five Forces Model



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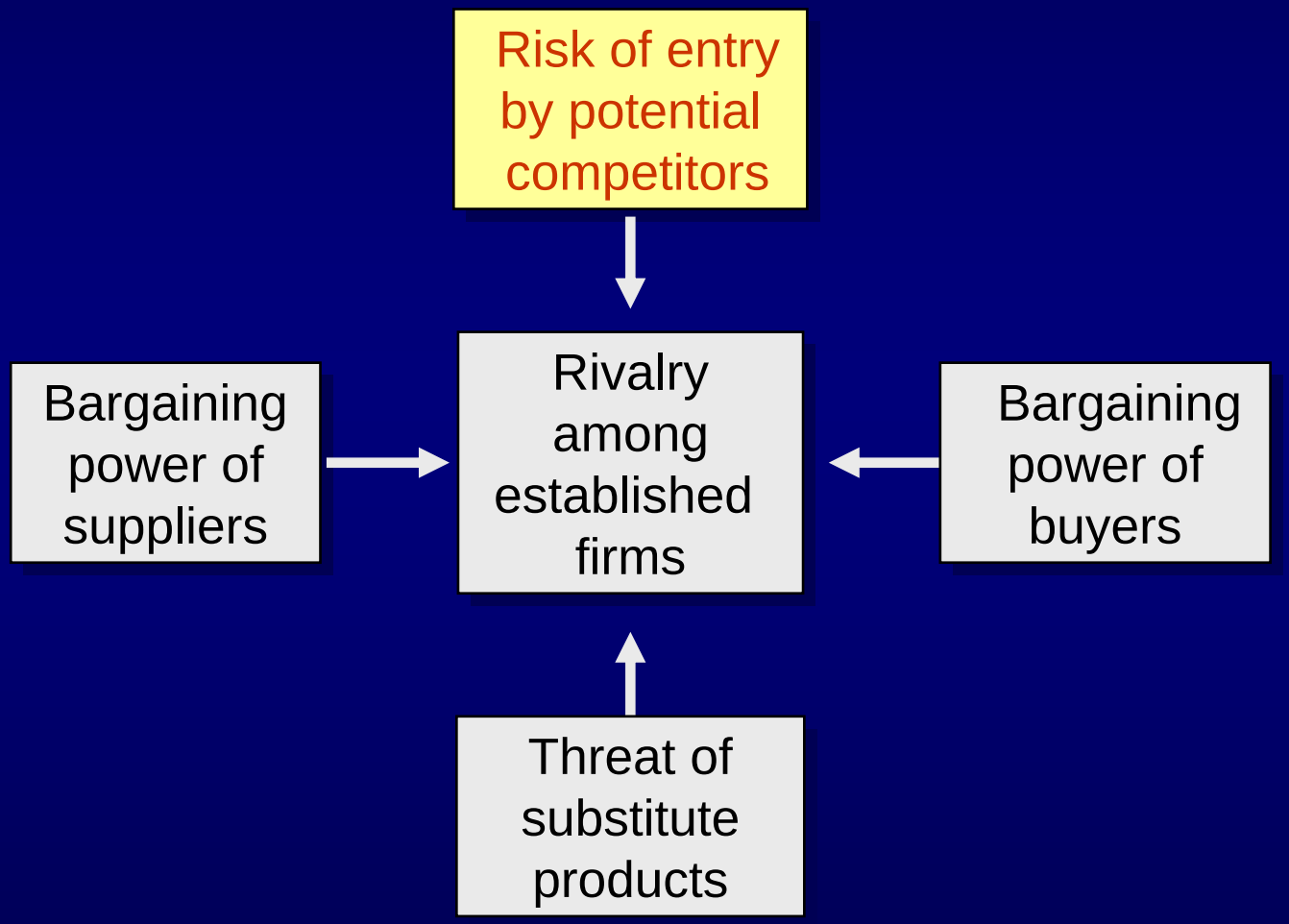
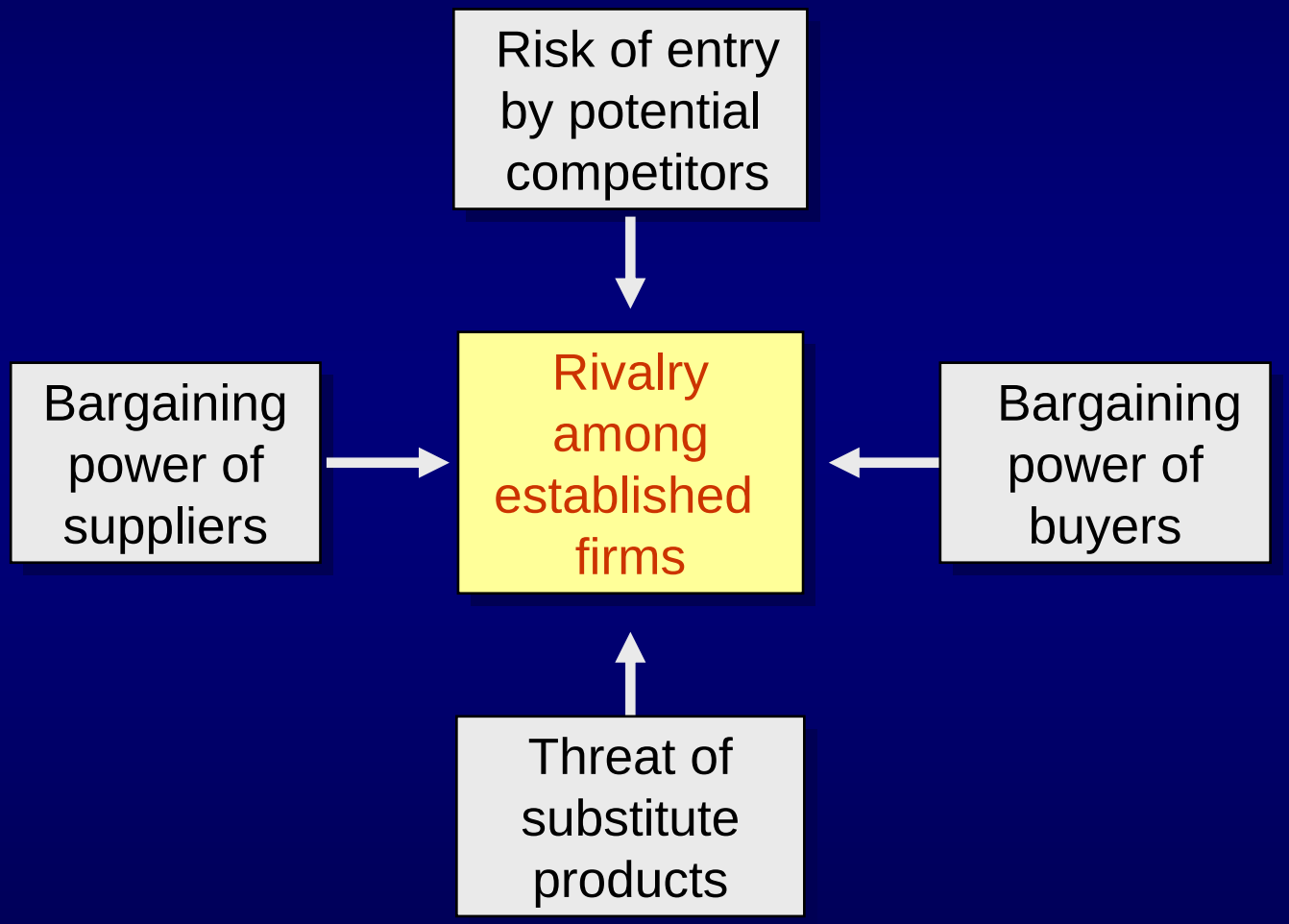


Potential Competitors

- **Definition: Companies that are not currently competing in an industry but have the ability to do so.**

- **Barriers to Entry**
  - **Brand Loyalty**
  - **Absolute Cost Advantages**
  - **Economies of Scale**
  - **Government Regulation**

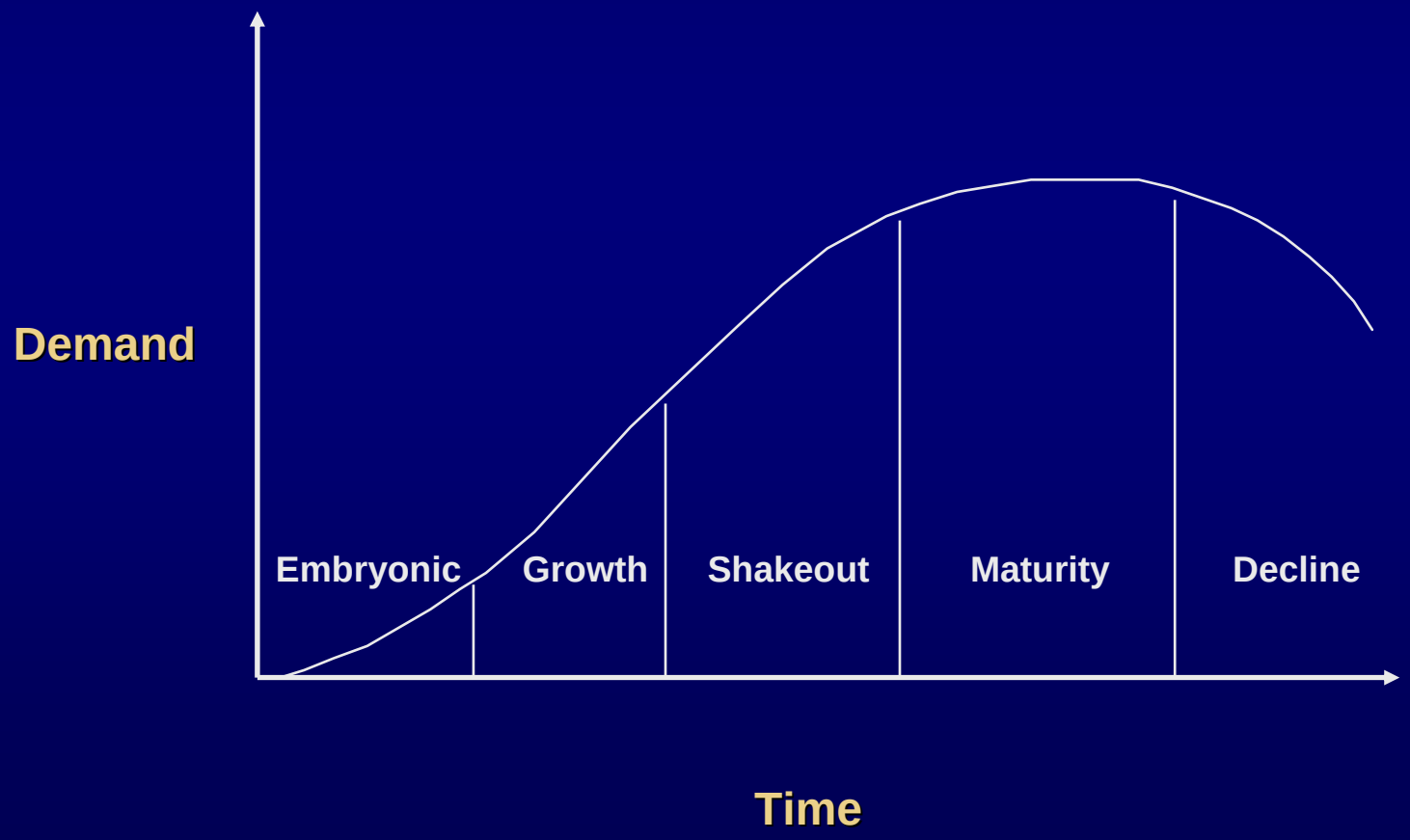
The Five Forces Model



Rivalry
Among Established Companies

- **Industry Competitive Structure**
- **Demand Conditions**
- **Height of Exit Barriers in the Industry**

Rivalry and Industry Life Cycle



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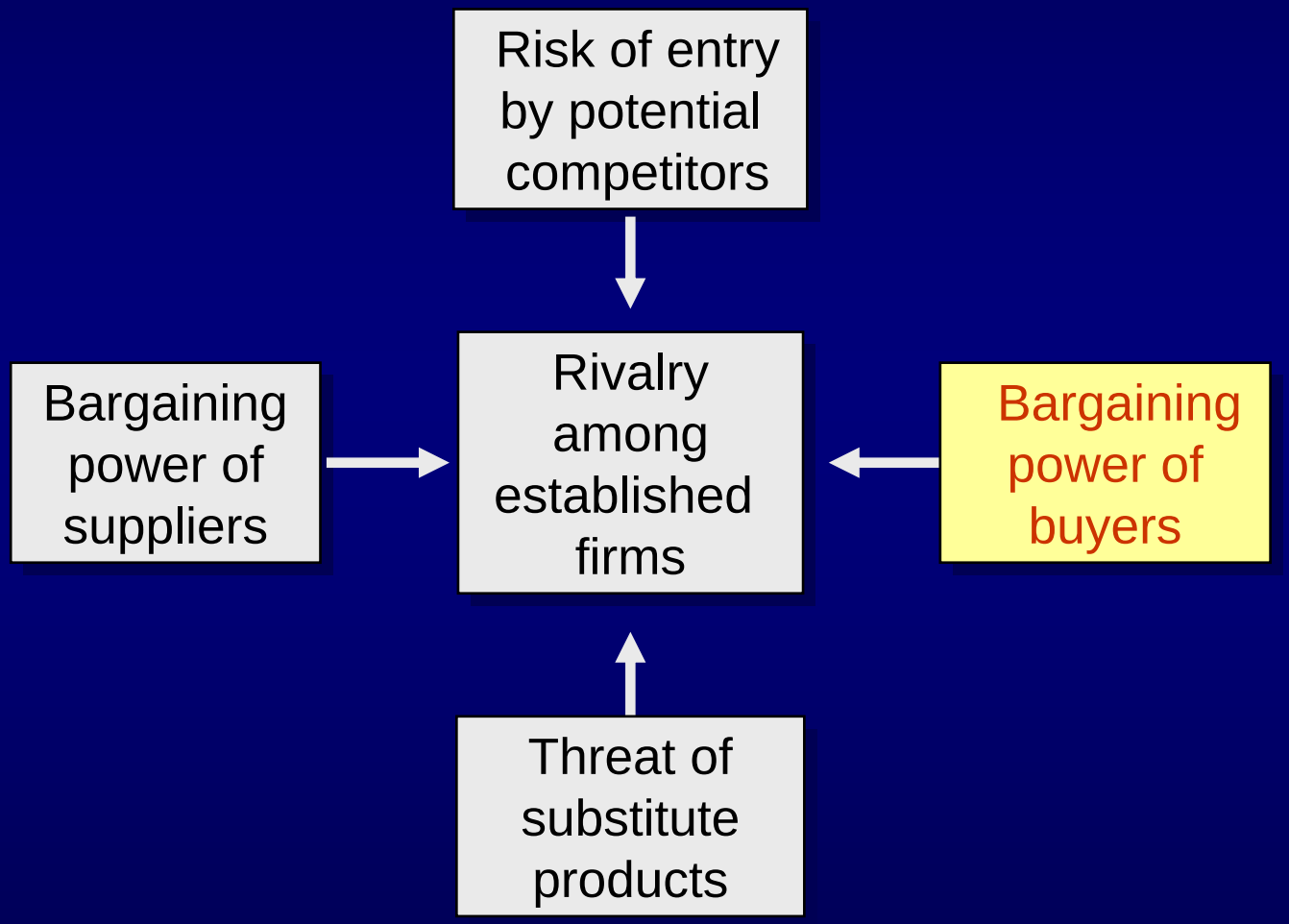


Bargaining Power of Buyers is highest when:

Many small sellers - few large buyers

Buyers purchase in large quantities

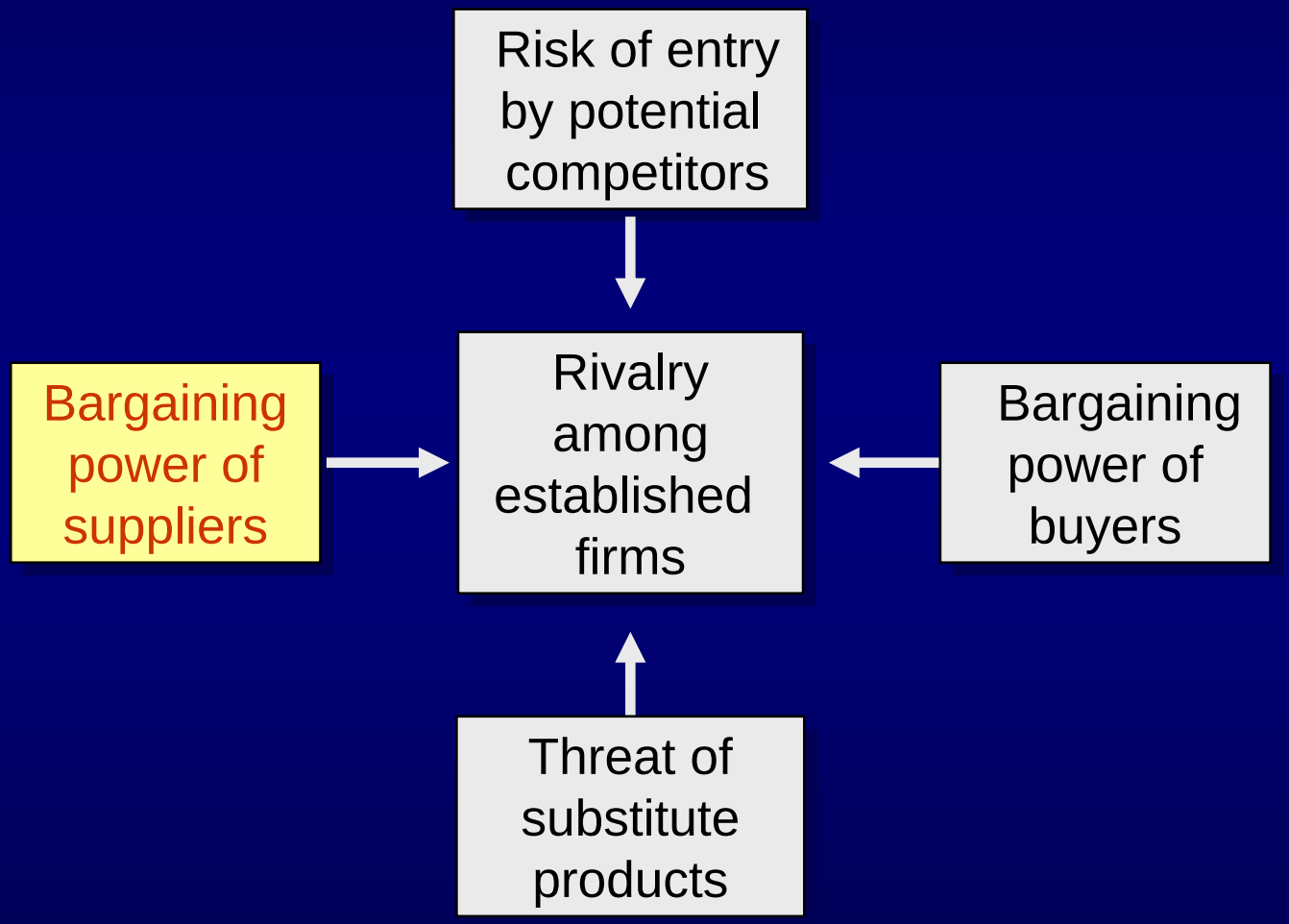
Buyer accounts for large percentage of sellers' total orders

Buyers can switch suppliers at low cost

Buyers purchase from several sellers at once

Buyers can vertically integrate

The Five Forces Model



Bargaining Power of Suppliers is highest when

The sellers' product has few substitutes and is important to buyer

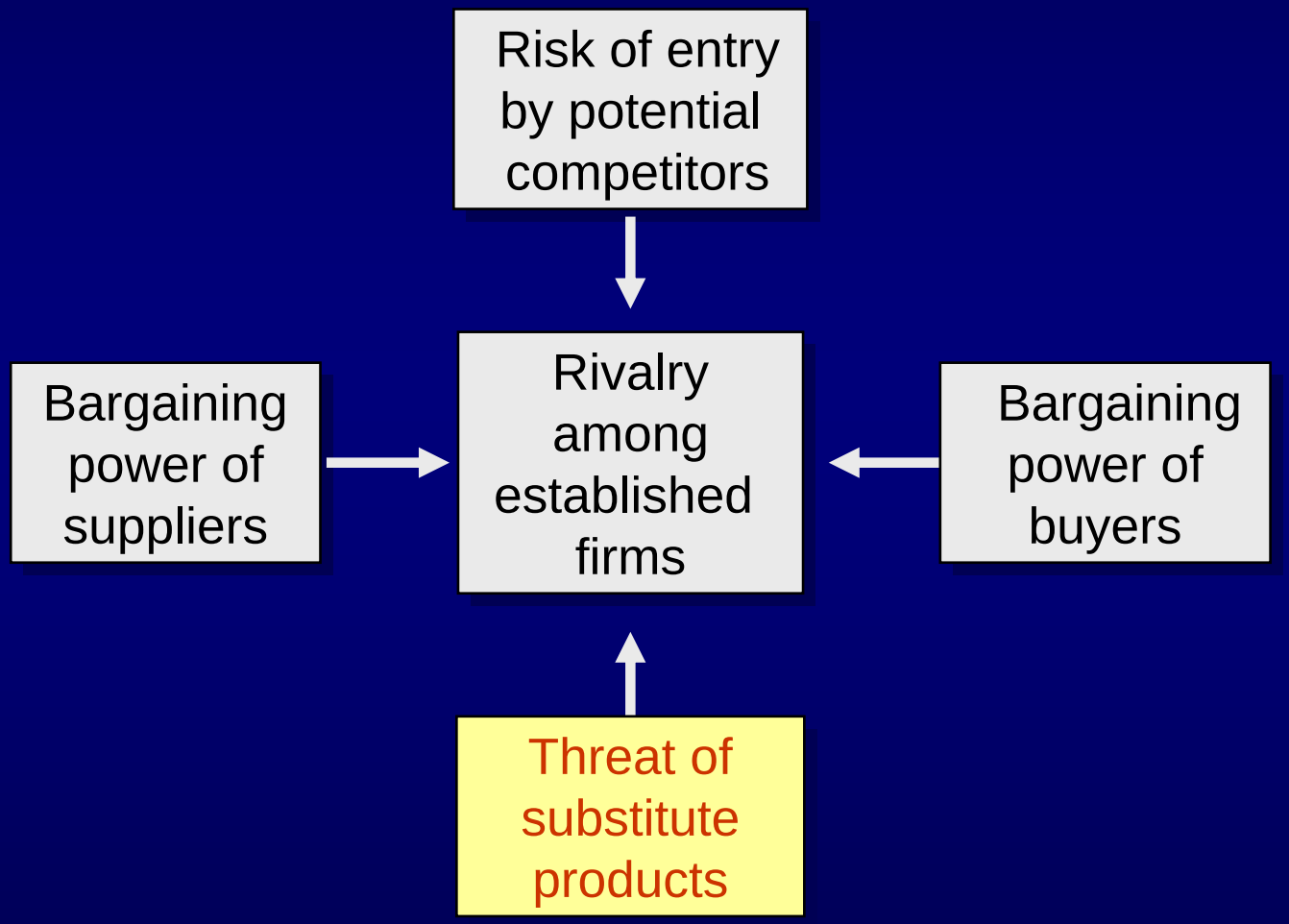
The buyers' industry is not an important customer to the suppliers

Differentiation makes it costly for buyers to switch suppliers

Suppliers can vertically integrate and compete with buyer

Buyers can't vertically integrate backward and supply their own needs

The Five Forces Model



Threat of Substitute Products

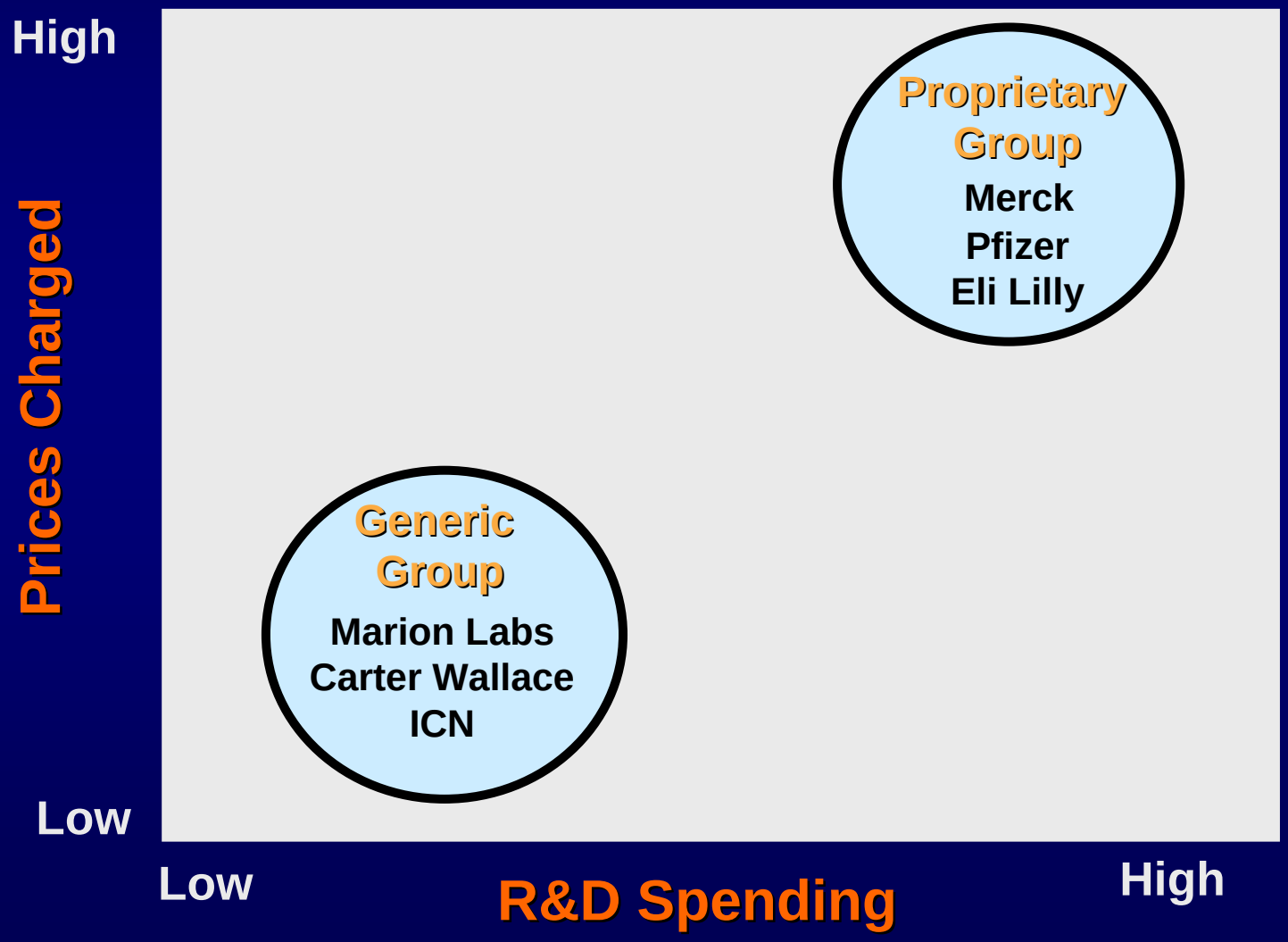
Forms of substitution:

- Product-for-product
- Substitution of need
- Generic substitution
- Doing without

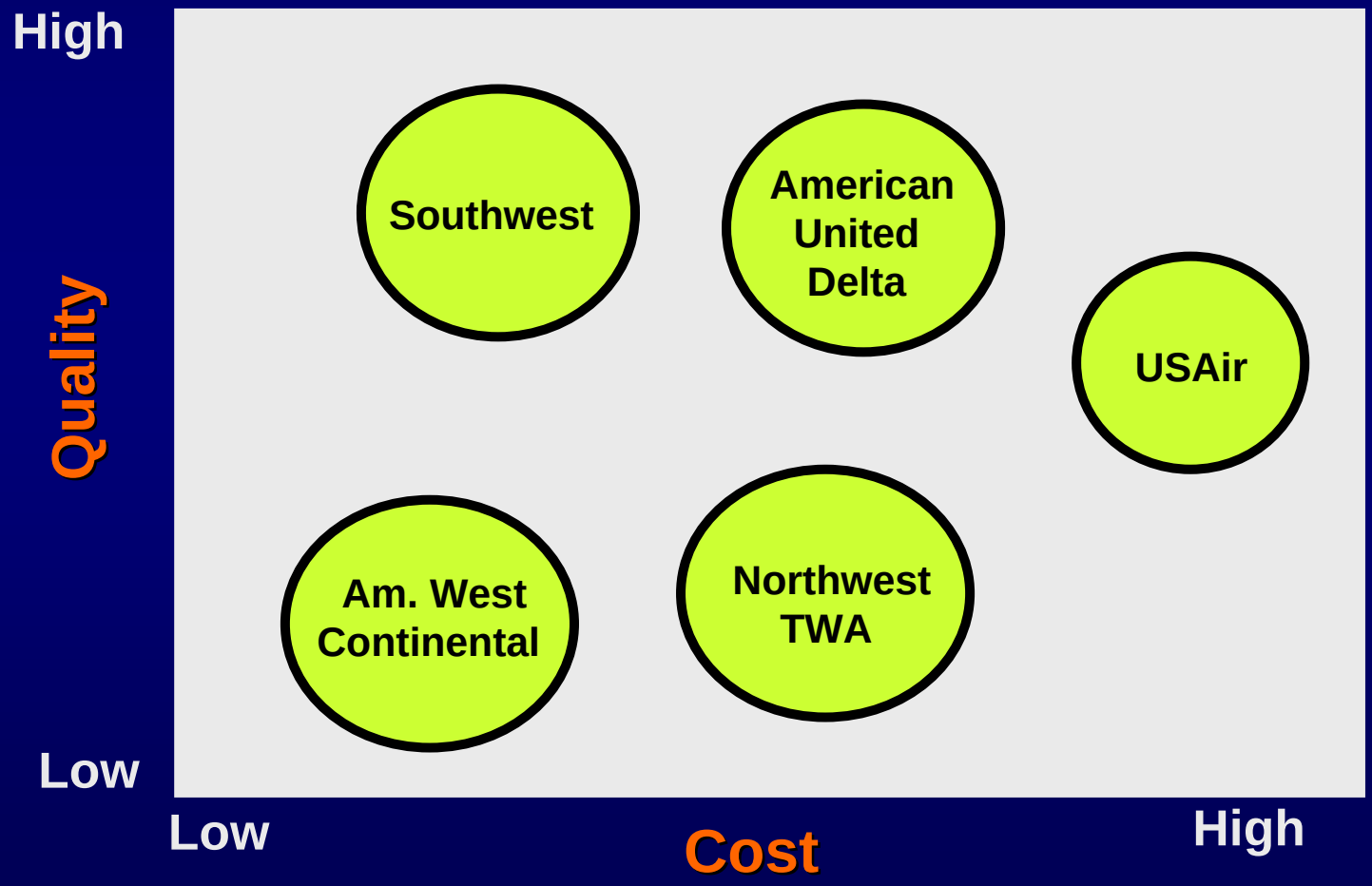
Strategic Groups

- **The Concept of Strategic Groups**
- **Implications of Strategic Groups**
- **Mobility Barriers**

Strategic Groups in the Pharmaceutical Industry



Strategic Groups in the U.S. Airline Industry (1996)



Limitations of the Five Forces and Strategic Group Models

- **Innovation and industry structure**
- **Industry structure and company differences**

International Business Plan Example Format

- Executive Summary
- Mission Statement
- Business Profile
  - products, markets, performance(financial, production, quality, customer satisfaction), strengths and weaknesses
- Industry Structure
  - recent history, sales & profits, major players(suppliers, competitors, customers),industry opportunities and threats
- Environmental and Competitive Analysis
  - Political, Economic, Social-Cultural,Technological, Competitive
- Marketing Strategy and Plan
  - Specific Objectives, Major Assumptions, Strategy and Tactics, Timetable, Budget
- Financial Results and Forecasts
- Risk Assessment
  - Contingency Plans
- Evaluation
  - Measurement, Evaluation timetable

Executive Summary

The executive summary is not

- an introduction to the plan.
- a preface.
- a random collection of highlights.

The executive summary

- is the plan in miniature.
- is logical, clear, interesting.
- Leaves the reader saying “I get it”